



Cyber Protection Policy

Corgi Insurance Company, Inc.

Cedar Ridge Accounting Group, LLC

Sample policy. Not issued or approved by Corgi; no insurance is in force. Applicant details and reporting contacts are fictional.

Policy form CORG-CY-0200 (10/26)

Key points:

Claims against your business. This is **claims-made** and reported coverage: a **claim** must generally be first made against you during the **policy period** or any extended reporting period, and reported as [Section VII](#) requires. See [Claims and investigations against you](#) for the coverage names. [Website-tracking liability](#) (Q) applies only if purchased.

A qualifying earlier report of an **incident** or circumstances can protect later related **claims** under [Section VII, part 1.4](#).

Your own losses. You must generally first **discover** the **incident** during the **policy period**. For [Incident response services](#) (A) and [Breach response costs](#) (B), an **early warning** or suspected **incident** in that period is enough.

Legal costs. **Claim expenses** count toward your **retention** and use up your limits.

Settlement decisions. If you reject a settlement we recommend and the claimant would accept, you pay 30% of covered **damages** above that amount and of later **claim expenses**, once your **retention** is used. See [Section IV, part 2](#).

Read this policy with its [Declarations](#) and endorsements.

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How to read this policy

Your [Declarations](#) show your business details, policy dates, selected coverages, limits and your share of a loss. [Item 7](#) lists each coverage by name.

Find your situation in [Section I](#): **incident** response, extortion, lost income, restoration, **payment fraud**, **claims** against you or other losses. Each coverage explains when it applies, what we pay, its limit, your share and any special conditions. Read its operating rules too.

Check the shared rules. Sections II and III explain limits and retentions. [Section IV](#) explains defense and settlement. Sections VI and VII contain exclusions, reporting deadlines and other conditions. Listed endorsements also apply.

Click to find the wording. Orange underlined text links to a coverage or rule. For example, [Breach response costs](#) ([Coverage B](#)) opens that coverage. Bold terms in body text link to their definitions in [Section V](#). Use the PDF bookmarks or [Contents](#) to move between sections.

Terms you will see

Term	What it tells you
Aggregate and sublimit	The aggregate is the shared annual pool. A sublimit caps one coverage and, unless stated otherwise, is part of it.
Retention and waiting period	A retention is the dollar amount you pay. Where a waiting period applies instead, losses during that time are not covered.
Claim expenses	Costs of investigating and defending a claim, as defined in Section V . They use up the applicable limits.
Endorsement	A listed document that changes the policy terms. Read it with the policy.
Extended reporting period	Extra time after the policy ends for certain claims under Section VII . It does not add a new period for discovering incidents.

An incident and a claim are different

An **incident** is an event listed in [Section V](#), such as a **security failure**, **privacy event** or **payment fraud**. A **claim** includes certain demands, legal proceedings and investigations against you. A **claim** is first made when any **insured** first receives it. Related events or **claims** can count as one. Read the full definitions and reporting rules, including [Section VII, part 1.4](#).

Declarations

Corgi Insurance Company, Inc. | CORG-CY-0201 (10/26)

Policy details	Entry
Policy reference / basis	CEDAR-2026 / New business
Placement	Direct

Item 1. Named insured and address

Cedar Ridge Accounting Group, LLC (Cedar Ridge CPAs). 1450 Market Street, Suite 600, Denver, CO 80202. Boulder satellite; no subsidiaries. Website and email domain: cedarridgecpa.com.

Item 2. Main and security contacts

Main: Dana Whitfield, Managing Partner | dana.whitfield@cedarridgecpa.com | 303-555-0101
Security: Marcus Oyelaran, IT Manager | marcus.oyelaran@cedarridgecpa.com | 303-555-0102

Item 3. Policy period

October 15, 2026 to October 15, 2027, both at 12:01 a.m. standard time at the address in [Item 1](#).

Item 4. Reporting channels

Channel	Contact
Hotline	303-555-0199 (inactive)
Email	claims@corgi-exercise.example (inactive)
Online	https://corgi-exercise.example/claims (inactive)

A report through any channel above, including a hotline call, is notice even if we have not acknowledged it. Report as soon as possible and meet any legal notice deadline. Telling a monitoring provider is not notice unless the report reaches one of these channels.

Item 5. Limits of insurance

Limit	Amount
Policy aggregate	\$2,000,000
Coverage A , outside the aggregate	\$25,000 each incident; \$75,000 each policy period
Pre-incident assistance, outside the aggregate	\$2,500 each policy period
Proof-of-loss help, within the aggregate	\$50,000 each incident

One annual pool. The \$2,000,000 policy aggregate is shared by all covered losses and **claim expenses**, except services expressly outside it. No amount is reserved for any one coverage: a \$600,000 payment leaves \$1,400,000 for everything else. A \$250,000 sublimit is part of this pool, not extra money; a payment under it reduces both.

Core cover and your share

Item 6. Retention and waiting periods

A **retention** is the amount you pay toward covered loss before we pay. Where a **waiting period** replaces the dollar **retention**, loss during the wait is not covered. Under [Section III, part 1](#), one dollar **retention** applies to each **incident**.

Your share	Amount
Each incident subject to a dollar retention	\$10,000
Coverage H , reported within 72 hours	\$2,500
Coverages D and E	8-hour wait; no dollar retention
Coverage P , if purchased	24-hour wait; no dollar retention
Coverage N	14-day wait; no dollar retention

[Coverage A](#) and pre-**incident** assistance have no **retention**.

Item 7. Core coverages (A-H)

Core coverages A-O are included. Each limit applies to the whole **policy period** unless it says it applies to each **incident**. "Policy aggregate" means the amount left in the shared annual pool.

Coverage	Limit and your share
A. Incident response services	\$25,000 each incident; \$75,000 each policy period. Outside the aggregate. / No retention
B. Breach response costs	Policy aggregate / Item 6 retention
C. Cyber extortion and ransomware	Policy aggregate / Item 6 retention
D. Your business interruption	Security failure: policy aggregate. Accidental system failure: \$250,000 shared with F. / 8-hour wait; no dollar retention
E. Technology-provider cyber interruption	\$500,000 / 8-hour wait; no dollar retention
F. Data and system restoration	Security failure: policy aggregate. Accidental system failure: \$250,000 shared with D. / Item 6 retention
G. Security improvement costs	\$25,000 / Item 6 retention , applied once per incident
H. Payment and invoice fraud	\$250,000 / Item 6 retention ; \$2,500 if reported within 72 hours

Core cover and optional choices

Item 7. Core coverages (I-O), continued

Coverage	Limit and your share
I. Network security and privacy liability	Policy aggregate / Item 6 retention
J. Regulatory defense and penalties	Policy aggregate / Item 6 retention
K. Payment Card Industry (PCI) fines and assessments	\$250,000 / Item 6 retention
L. Media liability	Policy aggregate / Item 6 retention
M. Computer replacement (bricking)	\$100,000 / Item 6 retention
N. Reputational harm	\$100,000; up to 90 days of lost profit / 14-day wait; no dollar retention
O. Cryptojacking and telecom fraud	\$50,000 / Item 6 retention

Two optional coverage extensions

Extension	Limit / your share	Selection
P. Accidental technology-provider outage	\$250,000; separate from the shared D/F cap / 24-hour wait; no dollar retention	Purchased
Q. Website-tracking liability	\$250,000 / Item 6 retention	Not purchased

Both limits are part of the policy aggregate. [Section I](#) explains when each coverage applies and what it pays.

Limit choices for core cover

Existing coverage	Selected limit
H. Payment and invoice fraud	\$250,000
Accidental system failure under D and F	\$250,000 shared cap; full limit not selected

System Failure Full Limit ([Section I, part 4](#)) is not selected. These choices do not change the policy aggregate or P.

Security controls and **claims**. A missing or failed security or payment control does not, by itself, reduce an otherwise covered payment ([Section III, part 3](#)). **Application** errors and deliberate misstatements are handled under [Section VII, part 3](#). Limits, retentions, waiting periods and other terms still apply.

Premium, dates and policy forms

Item 8. Annual premium

Premium line	Illustrative amount
Core coverages (A-O)	\$7,500
P. Accidental technology-provider outage	\$500
Terrorism (TRIA), taxes and fees	\$0
Total due for this sample	\$8,000

All prices are exercise assumptions, not a quote. Taxes, fees and the included certified-terrorism premium are assumed to be \$0. No payment is actually due; no insurance is issued.

Item 9. Dates used to determine coverage

Date	Entry
Retroactive date	Full prior acts
Continuity date	October 15, 2026

Item 10. Extended reporting period

Automatic: 60 days after cancellation or non-renewal ([Section VII, part 5.4](#)). Optional: 12 months for 75% of annual premium, or 24 months for 125% ([Section VII, part 5.5](#)).

Item 11. Choice of law

Colorado. Colorado law does not allow punitive or exemplary **damages** to be **insured**, so this policy does not pay them.

Item 12. Forms and endorsements

Form	Title
CORG-CY-0201 (10/26)	Declarations
CORG-CY-0200 (10/26)	Cyber Protection Policy
CORG-CY-0202 (10/26)	Application (on file with us)
CORG-IL-0001 (10/26)	Terrorism Risk Insurance Act Disclosure (Legal notices, item 1)

The [Declarations](#), **application**, policy form and any endorsements listed above and supplied with it make up this policy.

Authorized representative	Date
_____	_____

Reporting an incident

Report through any channel in [Item 4](#) of the [Declarations](#), 24 hours a day. A hotline call counts as notice even if we have not acknowledged it. Telling a monitoring provider does not count unless the report reaches an [Item 4](#) channel. See [Section VII, part 1](#) for the full notice rules.

- 1. Isolate affected systems promptly to limit damage.** Preserve evidence where practicable. Reasonable containment in the first 72 hours does not need our prior consent ([Section VII, part 2.2](#)).
- 2. Call the hotline in [Item 4](#) immediately.** A breach coach, a lawyer who guides the response, is available 24/7. The first 7 days of expert help cost you nothing, up to \$25,000. Speak with the response team before wiping or rebuilding systems.
- 3.** Do not pay a ransom, negotiate or admit fault before talking to us. You never have to pay a ransom to keep your coverage.
- 4.** Money sent to a fraudster? Call your bank at once, then us. The first 24 hours matter most for getting it back.
- 5. Make legally required notices on time.** You never need our permission to meet a legal deadline.

Important notices

1. Your policy documents. Read your [Declarations](#), this policy and any listed endorsements together.

2. When claims against you are covered. Two timing rules apply:

(a) The **claim** must first be made against you during the **policy period** or an applicable extended reporting period.

(b) You must report it to us as [Section VII](#) requires.

These are **claims**-made and reported terms for [Claims and investigations against you](#). [Website-tracking liability](#) applies only if purchased. A qualifying earlier report can protect later related **claims** under [Section VII, part 1.4](#).

3. Defending claims uses up your limits. **Claim expenses**, including covered legal fees, count toward your **retention**. Our payments for them reduce, and can use up, the limit available for settlements and other covered payments.

4. Colorado law applies. Colorado law governs this policy, as stated in [Item 11](#) of your [Declarations](#).

5. Your information. We collect information from your **application** and **claims** to decide whether to offer insurance and on what terms, and to manage your policy. We share it only with companies that insure our risks (reinsurers), service providers and our **incident** response panel, or as the law requires. We do not sell it.

6. Payments prohibited by sanctions. We cannot provide coverage or make any payment, including a ransom payment, if U.S. trade or economic sanctions prohibit it.

Legal notices

The 80% figure below concerns government reimbursement to the insurer. It does not set your claim payment percentage. Your payment follows the policy terms, including the program cap described below.

1. Terrorism Risk Insurance Act disclosure, CORG-IL-0001 (10/26). Coverage for acts of terrorism certified under the federal Terrorism Risk Insurance Act, as amended, is included in this policy on the same terms, conditions and exclusions as other covered losses.

Losses from certified acts of terrorism may be partly reimbursed by the United States Government under a formula set by federal law. Under that formula, the United States Government generally reimburses 80% of covered terrorism losses above the deductible that the law sets for the insurance company providing the coverage.

The Act contains a \$100 billion cap that limits U.S. Government reimbursement, and insurers' liability, for losses from certified acts of terrorism when those losses exceed \$100 billion in any one calendar year. If the combined insured losses of all insurers exceed \$100 billion, your coverage may be reduced.

The portion of your annual premium attributable to this coverage is shown in [Item 8](#) of the [Declarations](#).

2. Fraud warning (Colorado). It is unlawful to knowingly provide false, incomplete, or misleading facts or information to an insurance company for the purpose of defrauding or attempting to defraud the company. Penalties may include imprisonment, fines, denial of insurance, and civil damages. Any insurance company or agent of an insurance company who knowingly provides false, incomplete, or misleading facts or information to a policyholder or claimant for the purpose of defrauding or attempting to defraud the policyholder or claimant with regard to a settlement or award payable from insurance proceeds shall be reported to the Colorado Division of Insurance within the Department of Regulatory Agencies.

Corgi Insurance Company, Inc. signs this policy through its President and Secretary. The policy is not valid unless we issue completed [Declarations](#) with it.

President	Secretary
_____	_____

I. Insuring agreements

We provide the coverages in [Section I](#) in exchange for your premium, relying on your **application** and subject to the policy terms. Core coverages A-O are included. P and Q apply only if purchased in [Item 7](#). [Item 7](#) also sets H's limit and shows whether System Failure Full Limit is selected.

Each coverage explains when it applies, what we pay, the limit and your share, and any special conditions. Use the amounts in the [Declarations](#) if they differ from an amount in [Section I](#).

WHEN COVERAGE APPLIES

Every coverage requires all of the following:

1. The **incident, media wrongful act or wrongful collection** first happened on or after the **retroactive date** and before the end of the **policy period**. A suspected **incident** also qualifies, even if none happened: any suspected **incident** for [Coverage A](#), a reasonably suspected one for [Coverage B](#), and a reasonably suspected **security failure** for the shutdown cover in [Section I, part 3.3](#).
2. For coverages for your own losses (A-H and M-P), you first **discover** the **incident** during the **policy period**. For A and B, receiving an **early warning** or reporting a suspected **incident** during that period is enough. For the shutdown cover in [Section I, part 3.3](#), you must first suspect the **security failure** during the **policy period**.
3. For liability coverages (I-L and Q), the **claim** is first made against you during the **policy period** or any extended reporting period.
4. You report the **incident** or **claim** to us through any channel in [Item 4](#), as [Section VII](#) (Conditions) requires.

TERMS THAT APPLY TO EVERY COVERAGE

Artificial intelligence. We do not exclude an **incident** or **claim** because AI, machine learning or deepfakes were used to cause or detect it.

We pay vendors directly. Wherever possible, we pay covered vendors (forensics, lawyers, negotiators) directly, so you do not have to pay first and wait to be reimbursed.

Sections II to VII and any listed endorsements apply to the coverages below. Each group of coverages is followed by its operating rules.

1. RESPOND TO AN INCIDENT

A. Incident response services

When it applies. You report an actual or suspected **incident** through any channel in [Item 4](#). An **early warning** is always a reasonably suspected **incident** for Coverages [A](#) and [B](#).

What we pay. We provide **incident response services** for the first 7 days after your report.

Limit and your share. \$25,000 each **incident** and \$75,000 for the **policy period** ([Item 5](#)). These amounts are outside the policy aggregate limit. **No retention.**

Special conditions. By itself, an **early warning** does not mean you have **discovered** an **incident** for any other coverage. How the response works: [Section I, part 1](#).

B. Breach response costs

When it applies. An actual or reasonably suspected **security failure** or **privacy event**, including one involving paper records.

What we pay. Breach response costs, including the cost of finding out that no **security failure** or **privacy event** happened.

Limit and your share. Up to the policy aggregate limit ([Item 5](#)), after the **retention** ([Item 6](#)).

Special conditions. Costs must be incurred within 12 months, but monitoring and identity-restoration services arranged in that window continue for their covered term. Legally required notices need no consent; voluntary notices do. [Section I](#), parts 1.4-1.5.

Operating rules for A and B

- 1.1. Call our 24/7 hotline, or use any channel in [Item 4](#), as soon as you suspect an **incident**. A lawyer called a breach coach will guide the response.
- 1.2. The breach coach may hire forensic experts to support legal advice. Privilege is not guaranteed.
- 1.3. You do not need approval to use vendors on our panel. You may use another vendor at rates similar to our panel's if we agree. We will not unreasonably refuse.
- 1.4. **Breach response costs** must be incurred within 12 months after you **discover** the **incident** or, for one that is only suspected, after you report it to us. Monitoring and identity-restoration services arranged for affected individuals within those 12 months remain covered for 24 months from enrollment, or longer if the law requires, even if costs are incurred or invoiced later. The same limits and **retention** apply.
- 1.5. You decide on legally required notices. You may notify individuals, regulators and law enforcement as the law requires without waiting for our consent, and we will pay the reasonable costs under [Coverage B](#).

2. CYBER EXTORTION AND RANSOMWARE

C. Cyber extortion and ransomware

When it applies. Cyber extortion, including **ransomware** that has already encrypted or locked your systems.

What we pay. Extortion expenses, including negotiators, investigation, sanctions screening and legal advice on whether payment is lawful. A ransom or other extortion payment must be lawful and have our written consent before it is paid.

Limit and your share. Up to the policy aggregate limit ([Item 5](#)), after the **retention** ([Item 6](#)).

Special conditions. You never have to pay a ransom to keep any other coverage. If a payment cannot lawfully be made, or you decide not to pay, we still pay negotiation, investigation and sanctions-screening costs. Consent and reporting steps: [Section I, part 2](#).

Operating rules for C

Paying is never required. You decide whether to pay, with our consent under the steps below. We will not reduce what we pay under any coverage because you chose not to pay, even if paying might have shortened the outage.

Before any extortion payment:

- 2.1. Contact us. We will arrange an experienced negotiator.
- 2.2. Assess the threat together. We will consider whether the threat is credible and whether you can restore from backups instead of paying.
- 2.3. Report the attack. Before we consent to a payment, the attack must be reported to the FBI (through its Internet Crime Complaint Center) or to the U.S. Cybersecurity and Infrastructure Security Agency, unless law enforcement advises otherwise. Our breach coach will make the report for you if you ask.
- 2.4. Check that payment is lawful. We will pay for sanctions screening and a lawyer's advice on whether a payment is lawful. We will not pay, and you must not pay, anyone that sanctions laws prohibit paying.
- 2.5. Get our written consent. We will not unreasonably withhold consent to a lawful payment. We may make the payment directly.

Laws about paying. If a law requires you to notify a government agency before or after an extortion payment, to wait for permission, or to explain a payment afterwards, you may do so without our consent, and we will pay the reasonable legal cost under [Coverage C](#). A delay the law requires is not a breach of this policy. If a law forbids the payment, we will not pay it, but [Coverage C](#) still pays negotiation, investigation and advice costs. Payments in cryptocurrency are valued on the date paid.

3. RECOVER INCOME

Outage guide. Every limit shown is part of the policy aggregate.

What stops working?	Coverage / limit	Unpaid wait
Your systems or cloud accounts: security failure	D / policy aggregate	8 hours
Your systems: accidental system failure	D / \$250,000 shared with F; see System Failure Full Limit	8 hours
Provider's own systems: security failure	E / \$500,000	8 hours
Provider's own systems: accidental failure	P, if purchased / \$250,000	24 hours

Your **cloud accounts** (the accounts, settings and data you control) are part of your **computer systems** ([Section V](#)), so an attack that reaches them is treated as affecting your own systems. If only the provider's service is unavailable, E or P applies. E and P do not cover general utility, telecommunications or public-internet outages. Exclusion 13 also applies to outages caused by fire or other physical catastrophe.

D. Your business interruption

When it applies. A **security failure** or **system failure** interrupts your **computer systems** for longer than the **waiting period**. A partial outage that stops a significant part of your business, such as payroll processing, counts.

What we pay. The **business income loss** you incur during the **period of restoration** and your **extra expense**, including catch-up costs incurred up to 30 days after the **period of restoration** ends.

Limit and your share. For a **security failure**, up to the policy aggregate. For a **system failure**, \$250,000 shared by D and F, unless System Failure Full Limit is selected. An 8-hour **waiting period** applies, with no **retention**.

Special conditions. The **period of restoration** lasts up to 180 days. How we measure the loss: [Section I, part 3](#).

E. Technology-provider cyber interruption

When it applies. A **security failure** affecting the **dependent systems** you rely on interrupts them for longer than the **waiting period**.

What we pay. The **business income loss** you incur during the **period of restoration** and your **extra expense**, including catch-up costs incurred up to 30 days after the **period of restoration** ends.

Limit and your share. \$500,000 ([Item 7](#)), within the aggregate. An 8-hour **waiting period** applies instead of a dollar **retention**.

Special conditions. Providers do not need to be listed by name. Only technology and outsourced-processing providers qualify as **dependent providers** ([Section V](#)). A provider outage caused by its own non-malicious failure falls under [Coverage P](#), if purchased. [Section I, part 3](#).

P. Accidental technology-provider outage (optional)

When it applies. A **system failure** affecting the **dependent systems** you rely on interrupts them for longer than the **waiting period** in [Item 6](#).

What we pay. **Business income loss** during the **period of restoration** and **extra expense**, including catch-up costs for 30 days after it ends.

Limit and your share. \$250,000, within the aggregate but separate from the D/F **system failure** cap. A 24-hour **waiting period** applies, with no dollar **retention**.

Special conditions. We measure the loss in the same way as under [Coverage E \(Section I, part 3\)](#). Applies only if purchased in [Item 7](#).

Operating rules for D, E and P

- 3.1. How we calculate your loss. We look at your net profit and operating expenses over the 12 months before the interruption, adjusted for trends, seasonality (such as a retailer's holiday season or an accounting firm's tax season) and the business you would likely have had. We compare those expected results with actual operations and work recovered later, using the **business income loss** definition in [Section V](#).

- 3.2. Partial outages count. A partial outage or slowdown counts if it stops a significant part of your normal business, such as payroll processing or tax filing, even while other systems work. We measure the loss from the affected part of your business.
- 3.3. Shutting down to limit damage. You may shut down or disconnect **computer systems**, or your connection to **dependent systems**, to contain an actual or reasonably suspected **security failure** in your systems or at a **dependent provider**. If you act on advice from our **incident** response team, a government agency or a **dependent provider**, or on your own reasonable judgment, we treat the resulting interruption as caused by that **security failure** under [Coverage D](#) or E, as applicable. If no **security failure** occurred, cover is limited to 72 hours from shutdown, including the unpaid **waiting period**.
- 3.4. Waiting periods. D, E and P each have their own **waiting period** in [Item 6](#). It starts when an interruption that qualifies under that coverage begins. Within each coverage, interrupted hours from the same **incident** add up, overlapping hours count once, and a further affected system or provider does not restart the wait. Waiting periods under different coverages can run at the same time, but meeting one does not meet another. We do not pay **business income loss** or **extra expense** incurred during a **waiting period**.
- A provider outage caused by both a **security failure** and a **system failure** falls under E, not P. The 180-day **period of restoration** runs from the first interruption and does not restart.
- 3.5. Providers do not need to be listed by name. E and P apply to any **dependent provider** that meets the definition in [Section V](#). Other suppliers and customers do not qualify.
- 3.6. Proof of loss. Send us a signed statement documenting your loss within 120 days after the **period of restoration** ends. This is your proof of loss. We will extend the deadline if you ask for more time. [Section II, part 3](#) covers forensic accounting fees to prepare it.
- 3.7. Getting back to business. Take reasonable steps to resume operations. You do not have to pay a ransom or other extortion payment to meet this requirement. We may review records relating to your loss for up to 12 months after receiving your proof of loss.

4. RESTORE DATA AND SYSTEMS

F. Data and system restoration

When it applies. A **security failure** or **system failure** damages, corrupts or deletes your **digital assets**, or leaves **malicious code** in your **computer systems**.

What we pay. **Restoration costs** to restore, recreate or recollect your **digital assets**, and to remove **malicious code** from your **computer systems**.

Limit and your share. For a **security failure**, up to the policy aggregate limit. For a **system failure**, \$250,000 shared with [Coverage D](#), unless System Failure Full Limit is selected. The **retention** ([Item 6](#)) applies.

Special conditions. Upgrades are paid only under [Coverage G, Section I, part 4](#).

G. Security improvement costs

When it applies. After a **security failure** covered under [Coverage B](#), C, D, F or H, our **incident** response team recommends in writing an upgrade to prevent a similar **incident**.

What we pay. Security improvement costs for that upgrade, including the first year of any subscription.

Limit and your share. \$25,000 ([Item 7](#)), after the ordinary **retention** ([Item 6](#)). Anything already paid toward a dollar **retention** for the same **incident** counts toward it. Neither H's reduced **retention** nor an interruption **waiting period** replaces it.

Special conditions. The upgrade and subscription rules are in [Section I, part 4.3](#).

System Failure Full Limit (only if selected)

This option raises the \$250,000 **system failure** cap shared by D and F to the amount left in the policy aggregate. It adds no money. What D and F cover and pay, the D **waiting period**, the F **retention** and [Coverage P](#) do not change.

Operating rules for F and G

- 4.1. We restore **digital assets** from backups or original sources to their condition before the **security failure** or **system failure**. If they cannot be restored, we pay the reasonable cost of establishing that.
- 4.2. If the same software is no longer available, we pay for the closest current equivalent. Restoring software or firmware is covered under F; replacing physical hardware is covered only under M, except for **security improvement costs** covered under G.
- 4.3. [Coverage G](#) is the only way this policy pays for upgrades. Our **incident** response team must recommend the upgrade in writing, and you must make it within 90 days after you **discover** the **security failure**. We pay the first year of any subscription, not later renewals.

5. RECOVER PAYMENTS

H. Payment and invoice fraud

When it applies. Either (1) **payment fraud** or **computer fraud** causes a **funds transfer loss**; or (2) a **security failure** lets someone send your customers fraudulent invoices or payment instructions, and you cannot collect payment you are owed.

What we pay. Funds transfer loss, including amounts you must repay clients from **client accounts** and reasonable recovery costs, and **invoice manipulation loss**. Invoice manipulation pays direct net cost excluding profit, not the invoice face amount.

Limit and your share. The [Item 7](#) limit covers both parts combined and is part of the policy aggregate. We do not pay the same loss twice. The [Item 6](#) **retention** falls to \$2,500 if you report the loss to us within 72 hours of **discovering** it.

Special conditions. Theft by current owners, partners, **employees** or individual contractors is not **payment fraud** or **computer fraud**. Tell your bank at once and keep your rights against it. [Section I, part 5](#).

Operating rules for H

- 5.1. Act fast. Tell your bank and report the fraud to the FBI's Internet Crime Complaint Center as soon as possible, ideally within 24 hours. Our funds-recovery team will help. Reporting to us within 72 hours of discovery earns the reduced **retention** in [Item 6](#).
- 5.2. Keep your rights against the bank. Under the law on funds transfers, a bank must sometimes refund an unauthorized or fraudulent transfer. Tell your bank in writing about any such transfer as soon as you can, and within the time your account agreement and the law allow. We will not wait for the bank's decision before paying covered loss. After we pay, we may pursue the bank in your name under [Section VII, part 10](#).
- 5.3. Recovered money. Money recovered after we pay is applied in the order set out in [Section VII, part 10.2](#).
- 5.4. Invoice fraud. We pay **invoice manipulation loss** once you show the customer paid the fraudulent account and you made reasonable efforts to collect. Payment is your direct net cost, excluding profit, not the invoice face amount.

6. CLAIMS AND INVESTIGATIONS AGAINST YOU

I. Network security and privacy liability

When it applies. A **claim** is first made against you, as [Section I](#) requires, for a **security failure** or **privacy event**, including a **claim** by your own **employee** about their **personal information**.

What we pay. **Damages** you are legally required to pay, and **claim expenses**.

Limit and your share. Up to the policy aggregate limit ([Item 5](#)), after the **retention** ([Item 6](#)). **Claim expenses** reduce the limit.

Special conditions. Errors in your professional services, such as accounting or tax advice, are not covered, but a breach that happens while you provide those services is (exclusion 20). We defend without waiting for your professional liability insurer ([Section VII, part 9.2](#)). Defense and settlement: [Section IV](#).

J. Regulatory defense and penalties

When it applies. A **regulatory proceeding** arising from a **security failure** or **privacy event**.

What we pay. **Claim expenses.** We also pay **regulatory penalties** you are legally required to pay, where insurance is allowed. The definition of **regulatory penalties** explains which law applies.

Limit and your share. Up to the policy aggregate limit ([Item 5](#)), after the **retention** ([Item 6](#)).

Special conditions. Costs of complying with orders or improving your security are not covered. [Section IV](#).

K. Payment Card Industry (PCI) fines and assessments

When it applies. A demand under your **merchant services agreement** because of a **security failure** or **privacy event** involving payment card data.

What we pay. **PCI fines and assessments** you are legally required to pay, and **claim expenses**.

Limit and your share. \$250,000 ([Item 7](#)), after the **retention** ([Item 6](#)).

Special conditions. Chargebacks and ordinary processing fees are not covered. [Section IV](#).

L. Media liability

When it applies. A **claim** for a **media wrongful act** in your **media content**.

What we pay. **Damages** you are legally required to pay, and **claim expenses**, including for content created with artificial intelligence tools.

Limit and your share. Up to the policy aggregate limit ([Item 5](#)), after the **retention** ([Item 6](#)).

Special conditions. Patents and trade secrets are not covered (exclusion 11). [Section IV](#).

Q. Website-tracking liability (optional)

When it applies. A **claim** alleging **wrongful collection** of **personal information** through **tracking technology** on your websites or apps.

What we pay. Damages you are legally required to pay, and **claim expenses**.

Limit and your share. \$250,000 ([Item 7](#)), after the **retention** ([Item 6](#)).

Special conditions. Biometric information is not covered. [Section IV](#).

7. OTHER LOSSES

M. Computer replacement (bricking)

When it applies. A **security failure** corrupts the firmware or software of computer hardware you own or lease, so that it no longer works as intended.

What we pay. Computer replacement costs if repair is not reasonably possible, or replacement costs no more than repair.

Limit and your share. \$100,000 ([Item 7](#)), after the **retention** ([Item 6](#)).

Special conditions. [Section I, part 7](#).

N. Reputational harm

When it applies. An **adverse publication** about a **security failure** or **privacy event**.

What we pay. Reputational harm loss you incur during the **reputational harm period**.

Limit and your share. \$100,000 ([Item 7](#)). No dollar **retention**: the first 14 days after the **adverse publication** are not covered, and we then pay for up to 90 days ([Item 7](#)).

Special conditions. We do not pay loss already paid under [Coverage D](#), E or P. The cost of repairing your reputation is paid under [Coverage B](#). [Section I, part 7](#).

O. Cryptojacking and telecom fraud

When it applies. A **security failure** allows unauthorized use of your computing resources, cloud or artificial intelligence services, utilities or telephone systems.

What we pay. Service fraud loss.

Limit and your share. \$50,000 ([Item 7](#)), after the **retention** ([Item 6](#)).

Special conditions. First ask the provider to waive or reverse the charges. We pay what it will not. [Section I, part 7](#).

Operating rules for M, N and O

- 7.1. Computer replacement (M). We pay for equivalent hardware if repair is not reasonably possible or would cost at least as much as replacing it. M does not pay for physical repair. Software or firmware restoration may qualify under F.
- 7.2. Reputational harm (N). After the **waiting period** in [Item 6](#), we pay lost net profit only. We use the same records and adjustments for trends and seasonality as for **business income loss** (part 3.1). We do not add continuing expenses or payroll, or pay loss already paid under D, E or P.

- 7.3. Cryptojacking and telecom fraud (O). This includes extra cloud, artificial intelligence service, utility and telephone charges. You must first ask your provider to waive or reverse the unauthorized charges; we pay what the provider will not.

II. Limits of insurance

- 1. How the limits work.** The policy aggregate in [Item 5](#) is the most we pay across all coverages, including **claim expenses**, except the services outside the aggregate in part 2 below. Each [Item 7](#) limit is the most we pay under that coverage for all **incidents** and **claims** combined during the **policy period**. It is part of the aggregate unless the [Declarations](#) expressly state it is outside the aggregate.

A shared limit is a single amount for all the coverages it names, for that type of loss. For example, the **system failure** cap covers **business income loss**, **extra expense** and **restoration costs** caused by a **system failure** under D and F combined. P has its own limit, separate from this cap.

A demand under a **merchant services agreement**, including the expenses of defending it, is covered only under K. A **regulatory proceeding** is covered only under J. You cannot use I to avoid those limits.

Example: legal costs and a settlement.

\$40,000 in **claim expenses** + \$60,000 settlement = \$100,000 covered costs.

You pay the \$10,000 **retention**. We pay \$90,000.

\$2,000,000 annual limit - \$90,000 insurer payment = \$1,910,000 remaining.

Assumes one covered **claim** and no earlier payments.

- 2. Services outside the aggregate.** [Coverage A](#) and pre-**incident** assistance ([Section VII, part 2.3](#)) do not use up the policy aggregate. Their separate limits are in [Item 5](#). Neither has a **retention**.

- 3. Proof-of-loss help.** We pay up to \$50,000 per **incident** for an independent forensic accountant to help you document a loss under any coverage for your own losses. This fee reduces the aggregate, but not the limit of the coverage it supports.

The fee follows the **retention** rules of the coverage it supports and adds no dollar **retention** of its own. For an interruption, we pay it only if the interruption outlasts its **waiting period**, including reasonable fees incurred during the wait. If the work supports several coverages, we split the fee by the work done for each.

- 4. Costs that fit more than one coverage.** We pay each cost only once. If one invoice covers services under different coverages, we split it reasonably by service and apply each coverage's limit and **retention** to its share. We do not apply a lower limit just because a cost also fits another coverage.

If a service qualifies under both A and B, we pay it under A first, up to A's remaining per-incident and annual limits. Costs that qualify under B stay covered under B even if A is unavailable or used up. Nothing is paid under both.

Replacing physical hardware is covered only under M, or under G as a security improvement cost. It is not a restoration cost or **extra expense**. This does not affect restoring software or firmware under F, or renting temporary equipment as **extra expense**. We do not pay an upgrade under both G and M.

III. Retention

1. One retention per incident.

- 1.1. One dollar retention applies to each **incident** and every **claim** arising from it, even if they trigger several coverages or fall in different policy periods. If different retentions could apply, the largest one applies. For a **claim** under [Coverage L](#) or Q that does not arise from an **incident**, the **media wrongful act** or **wrongful collection**, with any related ones, is treated as one **incident** for this rule.
- 1.2. Business interruption and reputational harm use their waiting periods in [Item 7](#) instead of a dollar retention.
- 1.3. Claim expenses count toward the **retention**, and so do payments by other insurance or by others on your behalf.
- 1.4. If you earn the reduced [Coverage H retention](#), it is the only dollar **retention** for the [Coverage H](#) loss, and what you pay toward it counts toward any other **retention** for the same **incident**.

2. Settling within your retention. You may settle a **claim** yourself if the total cost, including **claim expenses**, stays within your **retention** and you obtain a full release from every claimant.

3. Security controls. Your security answers describe your controls; they are not a warranty that the controls will work. A missing or failed control, including backups, patching, payment verification or staff training, does not by itself exclude an otherwise covered loss, reduce its limit or increase your share. [Section VII, part 3](#) still applies to **application** errors and deliberate misstatements. A risk advisory or recommendation does not change this policy.

IV. Defense and settlement

These rules apply to Coverages [I](#), [J](#), [K](#), [L](#) and [Q](#).

- 1. Defense.** We have the right and duty to defend a **claim** if the facts alleged could be covered, even if those allegations are groundless. You may choose a lawyer from our panel or another lawyer we agree to at similar rates.
- 2. Settlement.** We will not settle a **claim** without your consent. You may refuse a settlement we recommend that the claimant would accept.

If you refuse, divide the covered costs into two parts:

(a) actual covered **damages** up to the proposed settlement amount, plus covered **claim expenses** incurred before your refusal; and

(b) covered **damages** above the proposed settlement amount, plus covered **claim expenses** incurred after your refusal.

We apply the dollar **retention** once: first to part (a), then any remainder to part (b). We pay the rest of part (a) and 70% of the rest of part (b). You pay the **retention** and the other 30% of the rest of part (b). No cost counts twice, whether it went toward the **retention** or was paid by us. Our payments remain subject to the available limits.

Example: you refuse a \$5,000 settlement before incurring any **claim expenses**. The final covered **damages** are \$20,000 and later **claim expenses** are \$10,000. With an unused \$10,000 **retention**, part (a) is \$5,000 and part (b) is \$25,000. The **retention** uses all of part (a) and \$5,000 of part (b). We pay 70% of the remaining \$20,000, or \$14,000. You pay \$16,000: the \$10,000 **retention** plus a \$6,000 share. This assumes no earlier payments and enough available limit.

- 3. Defense costs reduce your limits.** Our duty to defend ends when the applicable limit is used up.
- 4. Mixed claims.** If a **claim** includes both covered and uncovered allegations, we pay 100% of **claim expenses** until the covered allegations are resolved. We divide **damages** fairly between the covered and uncovered matters. If you refuse a settlement, part 2 above applies.
- 5. Penalties and punitive damages.** We pay **regulatory penalties** and punitive **damages** only where the law allows them to be **insured**, as the definitions in [Section V](#) set out.

V. Definitions

Bold terms in this policy and the [Declarations](#), singular or plural, have the meanings below.

1. **Adverse publication** means a public report or communication through news or online media about a **security failure** or **privacy event** affecting you, containing information that was not previously public.
2. **AI agent** means software you use that can take actions in your **computer systems** without a person approving each step. It exceeds its authority when it takes an action that its configured permissions did not permit, that your written instructions or policies prohibited, or that someone other than you caused it to take (for example, through instructions hidden in an email or document it processed).
3. **Application** means everything you, or anyone on your behalf, gave us in writing to obtain this policy, including the **application** form and its attachments. Information we obtain independently is not part of your **application**.
4. **Breach response costs** means the following reasonable costs you incur within 12 months after you **discover** a **security failure** or **privacy event**, or after you report it to us if it is only suspected. [Section VII, part 2.2](#) explains when you need our consent; [Section I, part 1.4](#) lets monitoring and identity-restoration services run past that window.
 - a. Forensic experts to find the cause and scope of the **incident** and contain it.
 - b. Lawyers (a breach coach) to advise on your legal duties, including notices to individuals and regulators.
 - c. Notifying affected individuals and regulators, including printing, postage, email and call center services.
 - d. Credit monitoring, identity monitoring and identity restoration for affected individuals for 24 months from enrollment, or longer if the law requires, subject to [Section I, part 1.4](#).
 - e. Helping affected individuals respond to tax-related identity theft, such as filing an identity theft affidavit with the Internal Revenue Service or obtaining an identity protection PIN.
 - f. Public relations and crisis management consultants.
 - g. Voluntary notifications not required by law, if we agree in advance.
5. **Business income loss** means:
 - a. the net profit before taxes you would have earned, or net loss before taxes you would have incurred, without the interruption. An expected net loss counts as a negative amount when added to paragraph b; and
 - b. normal operating expenses, including payroll, that must continue during the interruption.

From the total of paragraphs a and b, subtract what you actually earned during the interruption: revenue, less the costs of earning it not already in paragraph b.

Also subtract the net benefit of delayed work you complete later, except to the extent the deduction above already counts it. The benefit allows for extra costs to finish the work and net income lost on other work it displaced, but not for costs paid as **extra expense**. Do not deduct saved expenses that paragraph b already leaves out. Minimum loss: zero.

Forensic accounting fees to prove this loss are covered under [Section II, part 3](#). **Business income loss** excludes profit you would have earned only because a widespread event harmed your competitors.

6. **Claim** means:

- a. a written demand for money, services or other relief;
- b. a lawsuit, arbitration or mediation;
- c. a **regulatory proceeding**;
- d. a written demand for **PCI fines and assessments**; or
- e. a written request to pause the legal time limit (statute of limitations) for a potential **claim**.

A **claim** is first made when any **insured** first receives it. All **claims** arising from the same or **related facts** are one **claim**, made on the date the first one was made.

7. **Claim expenses** means reasonable attorneys' fees and other costs to investigate, defend, settle or appeal a **claim**, incurred by us, with our consent, or as [Section VII, part 2.2](#) allows, including appeal bond premiums. It does not include your own staff's salaries or overhead. **Claim expenses** reduce your limits.

8. **Client accounts** means:

- a. accounts you hold for clients, such as trust or escrow accounts; and
- b. a client's own bank or payment account that you are authorized in writing to operate or to start payments from, for example to run the client's payroll or pay its bills.

9. **Cloud accounts** means the accounts, tenants, user identities, settings and data that you control in an online service, such as your email, file-storage, online banking, payroll, accounting and tax-software accounts and your client portal. It covers only what you control, not the provider's own servers, code or network.

10. **Computer fraud** means someone's unauthorized entry into, or use of, your **computer systems** (including your **cloud accounts**) to:

- a. transfer money or securities from your accounts or **client accounts** without your permission; or
- b. alter a payment batch, payroll file, or payee or bank record held in your **computer systems**, which you then approve or release without knowing it was altered.

It does not include a transfer or alteration made by your current owner, partner, member, officer, **employee** or individual independent contractor, or by someone acting in collusion with one of them.

11. **Computer replacement costs** means the reasonable cost to replace computer hardware you own or lease with equivalent hardware, when a **security failure** has corrupted its firmware or software so that it no longer works as intended.

12. **Computer systems** means computers, servers, mobile devices, software, networks, storage, backup devices and connected devices (including Internet of Things devices) that are:

- a. owned or leased by you, or operated by you, including your **cloud accounts**; or
- b. personally owned by an **employee** or **executive** and used with your permission to access your systems or data.

It does not include **dependent systems**. If an attack on **dependent systems** gives someone unauthorized access to your **cloud accounts**, or **damages**, encrypts or exposes data in them, the attack counts as a **security failure** affecting your **computer systems** under every coverage. An interruption caused only by a **dependent provider's** service being unavailable to you, and not by a **security failure** in your own

computer systems, falls under [Coverage E](#) (or [Coverage P](#), if purchased, for a **system failure**), not [Coverage D](#).

13. **Confidential business information** means another party's non-public business information that you hold and have a duty to keep confidential, such as a client's financial records.
14. **Continuity date** means the date shown in [Item 9](#) of the [Declarations](#).
15. **Cyber extortion** means a threat, made to obtain money, cryptocurrency, property or services from you, to:
- a. release, sell or publish data in your care;
 - b. damage, encrypt, corrupt or disable your **computer systems** or **digital assets**, or continue doing so;
 - c. launch a denial-of-service attack against your **computer systems**; or
 - d. transfer funds from your accounts without permission.
- It includes **ransomware** that has already encrypted or locked your systems.
16. **Damages** means judgments, awards and settlements you are legally obligated to pay, including pre- and post-judgment interest. Punitive or exemplary **damages**, and the multiplied part of any multiplied **damages**, are included only where the law shown in [Item 11](#) of the [Declarations](#) allows them to be **insured**. **Damages** does not include:
- a. fines, penalties or taxes, except **regulatory penalties** and **PCI fines and assessments** covered under Coverages [J](#) and [K](#);
 - b. restitution, return of fees, or disgorgement of profits;
 - c. the cost of complying with an injunction or other non-monetary relief; or
 - d. amounts you owe only because you agreed to them in a contract, except: (i) amounts you would have owed anyway; (ii) amounts you owe under a contract duty to keep **personal information** or **confidential business information** secure, or to pay for notifying people after a **privacy event**; and (iii) **PCI fines and assessments** under [Coverage K](#). We do not pay liquidated **damages** or service credits beyond what you would have owed without the contract.
17. **Dependent provider** means a business, other than an **insured**, that provides you either of the following under a written or electronic agreement, including online terms you accepted:
- a. Information technology services, such as cloud hosting, software as a service, data storage, or managed IT or security services; or
 - b. Outsourced business processes run on its own **computer systems**, such as payroll, tax filing, billing or payment processing.
- Other suppliers and customers do not qualify. Neither do providers of electricity, water, gas or other utilities, telecommunications or **public internet infrastructure**.
18. **Dependent systems** means the **computer systems** a **dependent provider** runs to serve you, including systems its hosting or cloud provider runs for it. Your **cloud accounts** are excluded from this definition.
19. **Digital assets** means your electronic data and software. It does not include computer hardware.
20. **Discover** means the first time an **executive**, or the security contact named in your **application**, becomes aware of facts that would lead a reasonable person to believe an **incident** has happened or is happening, even if its cause, scope or cost is not yet known.

21. **Early warning** means a notice to you, from a law enforcement or other government agency, your bank, your outside IT provider, a **dependent provider**, a security company monitoring your systems, or us, that your **computer systems** may have been compromised or that your credentials or data are being offered or used by criminals.
22. **Employee** means any past or present **employee**, including part-time, seasonal, temporary and leased workers, interns and volunteers, while working for you.
23. **Executive** means your owner, managing partner or managing member; any partner or member holding 10% or more of the **named insured**; your chief **executive** officer, chief financial officer and general counsel; and the **employee** you have designated as responsible for information technology or security. It does not include an outside IT provider.
24. **Extortion expenses** means the following. Paragraph a always requires our prior written consent. Paragraphs b and c need it only if you use a vendor outside our panel, and even then [Section VII, part 2.2](#) applies:
- a. money, cryptocurrency or property paid to end **cyber extortion**, where lawful, and the cost of acquiring and transferring it;
 - b. fees of negotiators and other consultants to respond to the **cyber extortion**; and
 - c. the cost of screening payment recipients against sanctions lists, and of legal advice on whether a payment is lawful.
25. **Extra expense** means reasonable additional costs you incur to avoid or reduce **business income loss**, or to catch up on work the interruption delayed, such as renting equipment, paying overtime or temporary staff, hiring outside IT staff or moving work to other systems. It includes catch-up costs incurred up to 30 days after the **period of restoration** ends. Costs to avoid **business income loss** are covered up to the loss they avoid.
26. **Financial institution** means a bank, credit union, payroll or payment processor, broker-dealer or similar institution that holds or moves money or securities for you or your clients.
27. **Funds transfer loss** means money or securities taken from your accounts or **client accounts** resulting from **payment fraud** or **computer fraud**, and reasonable costs to try to recover them. For a client's own account, it includes only amounts you are legally obligated to repay the client, or repay with our consent, which we will not unreasonably withhold. It does not include personal funds of **employees** or **executives**, or chargebacks on payment cards used fraudulently. Wages or other amounts you must pay again because **payment fraud** or **computer fraud** diverted them are your loss, not an **employee's** personal funds.
28. **Incident** means a **security failure, system failure, privacy event, cyber extortion, payment fraud, computer fraud** or **adverse publication**. **Incidents** arising from the same or **related facts** are one **incident**, occurring when the first one occurred.
29. **Incident response services** means help provided through our 24/7 hotline for the first 7 days after you report an actual or suspected **incident**, up to the [Item 5](#) limits: advice from a breach coach lawyer, an initial forensic assessment, guidance on containing the **incident**, and guidance on legal notice deadlines.
30. **Insured**, you and your mean:
- a. the **named insured** and any company it owns more than 50% of at the start of the **policy period**, and any company acquired during it, as [Section VII, part 4.1](#) provides;
 - b. **executives** and **employees**, while acting for you;

- c. individual independent contractors, while working for you under your supervision; and
- d. for [Coverage I](#) only, any person or organization you agreed in a written contract to add as an additional **insured**, but only for liability caused by your acts.

In [Coverages A-H and M-P](#), "you" and "your" mean the **named insured** and the companies in paragraph a, except where a definition says otherwise.

- 31. **Invoice manipulation loss** means your direct net cost, excluding profit, of goods or services you delivered or will deliver, when a customer's payment to you is diverted because it paid a fraudulent invoice or followed fraudulent payment instructions sent as a result of a **security failure**. It does not matter whether you delivered before or after the diverted payment. It does not include a diversion carried out by, or in collusion with, anyone excluded from the definition of **payment fraud**.
- 32. **Malicious code** means software designed to damage, disrupt, steal from or gain unauthorized access to **computer systems**, including viruses, worms, spyware and **ransomware**.
- 33. **Media content** means text, images, audio, video and other material, whether created by people or with artificial intelligence tools, that you publish on your websites, social media accounts, advertising or marketing. It does not include your products or software.
- 34. **Media wrongful act** means any of the following in your **media content**: defamation or disparagement; invasion of privacy or publicity rights; infringement of copyright, trademark, trade name or domain name (but not patents or trade secrets); or plagiarism.
- 35. **Merchant services agreement** means your agreement with a bank, payment processor or card brand that lets you accept payment cards.
- 36. **Named insured** means the organization shown in [Item 1](#) of the [Declarations](#).
- 37. **Payment fraud** means deliberate deception, through any means of communication (including email, text, messaging app, letter, phone or video call, and synthetic or deepfake audio or video), by someone who pretends to be, or to act for, you, an **executive**, **employee**, client, vendor, **financial institution** or another person you deal with, or who falsely **claims** that genuine payment or bank details have changed. The deceiver must not be your current owner, partner, member, officer, **employee** or individual independent contractor (even if not acting for you at the time), or be acting in collusion with one of them. The deception must:
 - a. lead you, or a **financial institution** that holds your accounts or **client accounts**, to transfer money or securities, or to change payment or bank details that are then used for a transfer; and
 - b. cause a loss to you, or a loss you must make good to a client.In this definition, "you" means the **named insured** acting through anyone authorized to make, approve or change its payments, including an **executive**, **employee**, individual independent contractor, or an **AI agent** acting within its authority.
- 38. **PCI fines and assessments** means fines, fraud recoveries, card reissuance costs and case management fees you owe under a **merchant services agreement** because of a **security failure** or **privacy event** involving payment card data. It does not include chargebacks or ordinary processing fees.
- 39. **Period of restoration** starts when the interruption of **computer systems** or **dependent systems** begins. It ends when operations return, or could have returned with reasonable speed, to their level before the interruption. It cannot exceed 180 days. We never assume a ransom was paid when deciding what reasonable speed means.

40. **Personal information** means information about an identifiable individual that any law, in the United States or elsewhere, requires to be protected, in electronic or paper form, including Social Security, taxpayer identification, driver's license and passport numbers; financial account and payment card numbers; tax return information; health information; biometric data; and usernames and passwords.
41. **Policy period** means the period shown in [Item 3](#) of the [Declarations](#), ending earlier if the policy is cancelled.
42. **Privacy event** means:
- a. unauthorized access to, or loss, theft or disclosure of, **personal information** or **confidential business information** in your care, in electronic or paper form, including while a **dependent provider** holds it for you;
 - b. your failure to give notice of a breach as a breach notification law requires; or
 - c. your failure to follow your own published privacy policy on protecting, sharing or giving people access to **personal information**.
- It does not include **wrongful collection**.
43. **Public internet infrastructure** means the public domain name system (its root and top-level-domain servers), internet exchange points and internet backbone networks. It does not include **dependent systems**, including the name servers a **dependent provider** or its hosting provider runs for its own services.
44. **Ransomware** means **malicious code** that encrypts or locks data or systems in order to demand payment.
45. **Regulatory penalties** means civil fines, penalties and consumer redress amounts imposed in a **regulatory proceeding**, where insurable under either the law shown in [Item 11](#) of the [Declarations](#) or the law of the place where the **regulatory proceeding** is brought. It does not include the cost of complying with orders or improving your security practices.
46. **Regulatory proceeding** means a request for information, civil investigative demand, investigation or civil proceeding, arising from a **security failure** or **privacy event**, by:
- a. a U.S. federal, state or local government agency (such as the Federal Trade Commission, a state attorney general or the U.S. Department of Health and Human Services); or
 - b. a government agency or data protection authority outside the United States.
47. **Related facts** are facts with a common cause, facts linked to the same attacker's continuing access, or a series of facts connected by cause and effect.
48. **Reputational harm loss** means the net profit before taxes you lose during the **reputational harm period** as a direct result of an **adverse publication**. It does not include the cost of repairing your reputation, which is covered as **breach response costs**.
49. **Reputational harm period** means the period shown in [Item 7](#) of the [Declarations](#) (up to 90 days), beginning when the reputational harm **waiting period** shown there ends. The **waiting period** begins on the date of the first **adverse publication**.
50. **Restoration costs** means reasonable costs to restore, recreate or recollect **digital assets** to their condition before the **security failure** or **system failure**, from backups or original sources, and to remove **malicious code**, including the cost to determine that restoration is not possible. It does not include the value of the data itself, the cost of creating new data or software, or upgrades other than **security improvement costs**.

51. **Retention** means the dollar amount shown in [Item 6](#) of the [Declarations](#) that you pay for each **incident** before we pay. [Section III, part 1](#) explains how it works. For business interruption, the **waiting period** applies instead; for reputational harm, the reputational harm **waiting period** in [Item 6](#) applies instead.
52. **Retroactive date** means the date in [Item 9](#) of the [Declarations](#). "Full prior acts" means there is no **retroactive date** cutting off earlier events.
53. **Security failure** means any of the following affecting your **computer systems**, including when caused by an **employee** or **executive** acting outside their authority or against your interests:
- a. unauthorized access to or use of **computer systems**, including with stolen credentials or credentials obtained by deception;
 - b. infection by **malicious code**;
 - c. a denial-of-service attack;
 - d. loss or theft of a device containing your data; or
 - e. someone other than you causing an **AI agent** to exceed its authority in your **computer systems**, including through instructions hidden in content it processes.
- For [Coverage E](#), it means the same events affecting **dependent systems**.
54. **Security improvement costs** means reasonable costs, incurred within 90 days after you **discover** a covered **security failure**, of security measures our **incident** response team recommends in writing to prevent a similar **incident**, such as multi-factor authentication, endpoint detection and response, or improved backups. It includes the first year of any subscription.
55. **Service fraud loss** means charges from your cloud, hosting, artificial intelligence, utility or telephone providers for unauthorized use that the provider will not waive or reverse.
56. **System failure** means an unplanned and unintentional outage of **computer systems** not caused by a **security failure**.
- It includes one caused by human error, a programming error, a faulty software update or patch (including one released by a vendor), or an **AI agent** malfunctioning or exceeding its authority without anyone else causing it to.
- It does not include planned downtime, or a failure of electricity, water, gas or other utilities, telecommunications, satellites or **public internet infrastructure** that you do not operate. For [Coverage P](#), it means the same events affecting **dependent systems**, but excluding such a failure unless the **dependent provider** or its hosting or cloud provider operates it.
57. **Tracking technology** means pixels, cookies, software development kits, session replay tools, chatbots and similar tools that collect information about visitors to your websites or apps.
58. **Waiting period** means the time shown in [Item 6](#) that an interruption must last before business interruption coverage begins. We do not pay loss incurred during those hours.
59. We, us and our mean the insurer shown on the [Declarations](#).
60. **Wrongful collection** means collecting, recording, sharing or using **personal information** through **tracking technology** without legally required notice or consent, including under wiretapping, eavesdropping or video privacy laws such as the California Invasion of Privacy Act.

VI. Exclusions

This policy does not cover loss, **claims** or costs arising from the matters below. If an exception to an exclusion applies, the other coverage requirements, definitions and policy terms still apply.

- 1. Bodily injury and property damage.** Physical injury, sickness or death, or physical damage to tangible property. This does not apply to emotional distress **claims** under Coverages [I](#) and [L](#), or to [Coverage M](#).
- 2. Known problems.** Any **incident**, **claim** or circumstance that:
 - (a) an **executive** knew about before the **continuity date** and that a reasonable person in that role would have expected to lead to a **claim** or loss; or
 - (b) you reported under an earlier policy that covers it.

For this exclusion, a circumstance does not include: (i) a vulnerability, missing patch or other security weakness that, as far as any **executive** knew, had not been exploited; (ii) anything disclosed in your **application**, unless the [Declarations](#) or an endorsement exclude it; or (iii) an **early warning** found not to be an **incident** by an investigation completed before the **continuity date**.
- 3. Before the retroactive date.** Any **incident**, **media wrongful act** or **wrongful collection** that first happened before the **retroactive date**.
- 4. Intentional wrongdoing by executives.** Any deliberately dishonest, fraudulent or malicious act, or knowing violation of law, by an **executive**, or by anyone acting with an **executive's** knowledge and consent. This exclusion applies only once the act is established by a final, non-appealable ruling (in this or a separate proceeding) or the person's written admission. Until then we defend **claims** and pay covered loss under every coverage. It does not apply to any **insured** who did not take part in or know about the act. For the **named insured**, it applies only if its owner, managing partner or managing member, chief financial officer or general counsel took part in the act, or knew about it and let it continue.
- 5. Contract promises.** Liability you took on under a contract. This does not apply to amounts covered under paragraph d of the definition of **damages**, or to liability you would have had without the contract.
- 6. Claims between insureds.** A **claim** by one **insured** against another, or by a company that owns more than 20% of you or that you own more than 20% of. This does not apply to a **claim** by any individual **insured** about their own **personal information**, or to a **claim** by an additional **insured**.
- 7. Employment practices.** Wrongful termination, discrimination, harassment or other employment-related **claims**, except an **employee's claim** arising from a **security failure** or **privacy event**.
- 8. Securities, antitrust, benefits and racketeering laws.** Violations of securities, antitrust, **employee-benefits** (ERISA) or racketeering (RICO) laws, or unfair or deceptive trade practices. The last part does not apply to a **regulatory proceeding** arising from a **security failure** or **privacy event**, or to a **claim** under [Coverage I](#) or Q arising from a **security failure**, **privacy event** or **wrongful collection**.
- 9. Unsolicited communications.** Violations of laws restricting calls, texts, faxes or emails, such as the Telephone Consumer Protection Act or the CAN-SPAM Act. This does not apply if a **security failure** caused the communications.

- 10. Wrongful collection and biometric laws.** **Wrongful collection**, except under optional [Coverage Q](#); or violations of the Illinois Biometric Information Privacy Act or similar laws governing how biometric data is collected, kept or used. This does not apply to **breach response costs**, or to liability arising from a **security failure** that exposes biometric data.
- 11. Patents and trade secrets.** Infringement of patents or misappropriation of trade secrets. Other intellectual property **claims** are covered only under [Coverage L](#).
- 12. Infrastructure failures.** Failure or interruption of electricity, water, gas or other utilities, telecommunications, satellites or **public internet infrastructure** that you do not operate, whatever the cause. This does not apply to loss from a **security failure** affecting your **computer systems**, or, under Coverages [E](#) and [P](#), to a **security failure** or **system failure** within **dependent systems**.
- 13. Natural disasters and physical events.** Fire, flood, earthquake, windstorm, explosion or other natural or physical catastrophe. This does not apply to theft or loss of a device, or to physical access used to carry out a **security failure**.
- 14. Government orders.** Seizure, confiscation or destruction of your systems or data by order of a government authority, or an order to shut down your systems. This does not apply to a **regulatory proceeding**, a shutdown under [Section I, part 3.3](#), or a law enforcement request for evidence about a covered **incident**.
- 15. War and state-backed cyber operations.**
- 15.1. What is excluded: (a) war, including a cyber operation carried out as part of a war; or (b) a state-backed cyber operation that has a major detrimental impact on the functioning of another state, because of its effect on that state's security or defense or on the availability, integrity or delivery of its essential services. War means the use of physical force by one state against another, or civil war, rebellion, revolution, insurrection or military takeover, whether or not war is declared. A state-backed cyber operation is one carried out by, at the direction of, or under the control of a state. Essential services include financial, health, utility, emergency, food, energy and transportation services. In this exclusion, "state" means a sovereign country, never a U.S. state, and "government" means its national government.
- 15.2. Bystanders stay covered.** Part 15.1(b) does not apply to your **computer systems**, or **dependent systems**, located outside the country that suffered the major detrimental impact. Your **cloud accounts** are treated as located at your address in [Item 1](#).
- 15.3. Cyber terrorism and state-linked crime stay covered.** Attacks by non-state groups for political, religious or ideological goals, and **ransomware**, espionage or fraud by groups linked to a state, are not excluded unless 15.1(a) or (b) applies.
- 15.4. Identifying who carried out the attack.** We rely on the national government of the country where the affected **computer systems** are located to identify who carried out the operation. For [Coverage E](#), use the location of the affected **dependent systems**. Until that government identifies who carried it out, we may use other objectively reasonable evidence, which we will share with you. We must prove that this exclusion applies.
- 15.5. Help continues while responsibility is being established.** [Coverage A](#), **breach response costs** and defense of **claims** continue until we establish that this exclusion applies. We will not seek repayment of amounts already paid.

- 16. Nuclear and pollution.** Nuclear reaction, radiation or radioactive contamination, or the release of pollutants.
- 17. Prohibited payments.** Any payment that trade or economic sanctions laws prohibit us from making, including reimbursing you for a payment you made to a person those laws prohibit paying.
- 18. Investment losses.** Changes in the value of securities, cryptocurrency or other assets, or trading losses. This does not apply to **funds transfer loss** or **extortion expenses**.
- 19. Profits you were not entitled to.** Any profit or advantage you were not legally entitled to, once a final, non-appealable ruling or the person's written admission establishes it. Until then we will defend the **claim**.
- 20. Professional services.** Errors, omissions or advice in your professional services, such as accounting, tax preparation, audit or payroll calculations. This does not apply to a **claim** or loss arising from an **incident**, a **media wrongful act** or **wrongful collection**, even if it happened while you were providing professional services.

VII. Conditions

These conditions apply to every coverage.

1. REPORTING INCIDENTS AND CLAIMS

- 1.1. How to give notice.** Tell us through any channel in [Item 4](#) of the [Declarations](#) as soon as practicable after you **discover** an **incident** or a **claim** is made against you. A call to the hotline is notice under this policy; you do not need to send anything else to give notice.

Your notice is effective when you give it, even if our confirmation is late. We will confirm each report to you in writing, by email, within one business day.

For a **claim**, also send us a copy of the demand, lawsuit or other document you received as soon as practicable.

- 1.2. Deadline for claims.** You must report a **claim** no later than 90 days after the **policy period** ends. For a **claim** first made during an optional extended reporting period, the deadline is 60 days after that period ends. These deadlines are firm, except as part 1.4 says.
- 1.3. Late notice of incidents.** If you report an **incident** late, we will reduce what we pay only to the extent the delay actually harmed our ability to respond to it.
- 1.4. Reporting now protects later related claims.** To use this rule, report during the **policy period** or within 90 days after it ends. Your report must describe an **incident** you **discovered** during the **policy period**, or facts you learned of during that period that could reasonably lead to a **claim**.

A later **claim** arising from what you reported, or from **related facts**, is treated as first made and reported on your report date (the **policy period**'s last day if you report after it). The later **claim** falls only under this policy, whenever it is actually made. You do not need to identify who might sue.

Send each later **claim** as soon as practicable after it is made; part 1.2's deadline does not apply to it. This rule does not revive a **claim** you received but failed to report by its deadline.

- 1.5. Legal deadlines come first.** Nothing in this policy requires you to delay a notice, filing or report to affected individuals, regulators or law enforcement that you reasonably believe the law requires.

2. WORKING TOGETHER

2.1. You will cooperate with us, give us the information we reasonably need, and give our forensic team access to affected systems.

2.2. **Consent.** Do not admit liability or settle a **claim** without our consent. You never need our consent to:

- (a) use vendors on our panel;
- (b) make notices, filings or reports the law requires;
- (c) take reasonable steps to contain an attack in the first 72 hours; or
- (d) settle within your **retention** as [Section III, part 2](#) permits.

If you incur other costs without our consent, we will reimburse reasonable and necessary costs that are otherwise covered, unless the lack of consent actually harmed us. Complying with a breach notification law is not an admission of liability. This rule never waives prior written consent for an extortion payment or the costs of acquiring and transferring it under paragraph a of **extortion expenses**.

2.3. **Pre-incident assistance.** Before anything is suspected and before any **early warning**, we will provide up to \$2,500 per **policy period** of legal or forensic advice on security questions, such as whether an email is phishing or a vendor's security terms are adequate. This is in addition to the aggregate limit, has no **retention**, and is not treated as a **claim**.

3. YOUR APPLICATION

3.1. We issued this policy relying on your **application**.

3.2. **Honest mistakes do not void your policy.** We will not rescind this policy, add exclusions, reduce limits or deny coverage because of an unintentional error or omission in your **application**. An error or omission can only be in an answer to a question we asked in the **application**.

If an answer was inaccurate, we may change only the premium and the **retention** to what we would have offered with the correct answer. Any change applies only from the date we tell you in writing, and never to an **incident** already **discovered** or a **claim** already made.

If we would not have issued this policy at all, it still continues until the end of the **policy period**. We may choose not to renew it under part 5.3.

3.3. **Rescission only for deliberate misstatements.** Rescission means voiding coverage from the start. We may rescind this policy only if an **executive** knowingly and intentionally made a material misstatement in the **application**.

Rescission applies only to the **named insured** and to **insureds** who made or knew about the misstatement. What one **insured** knows is not treated as known by another, except that an **executive's** knowledge is treated as the **named insured's**.

3.4. **Conditions known before issue.** If we knew of a condition before issuing this policy, we will not deny or reduce coverage, or **claim** misrepresentation, because of that condition alone.

4. CHANGES DURING THE POLICY PERIOD

- 4.1. New companies.** A company in which you acquire more than 50% ownership is automatically covered if its revenue was less than 25% of yours. An acquisition with revenue of 25% or more of yours is covered for 90 days, or until this policy ends if sooner; tell us within that time, and we may charge additional premium to keep covering it. Either way, cover applies only to **incidents, media wrongful acts** and **wrongful collection** first happening after the acquisition.
- 4.2.** If you are acquired. If another organization acquires or merges with the **named insured**, this policy continues until the end of the **policy period**, but only for **incidents, media wrongful acts** and **wrongful collection** before the change. You may buy an extended reporting period.

5. CANCELLATION, NON-RENEWAL AND EXTENDED REPORTING

- 5.1.** You may cancel at any time. We will refund premium in proportion to the unused part of the **policy period**.
- 5.2.** We may cancel only for non-payment of premium, on 10 days' written notice stating the reason, or because an **executive** knowingly made a material false statement in your **application**, on 45 days' written notice. An honest mistake is never a reason to cancel (part 3.2). We will send any notice by first-class mail to the address in [Item 1](#), and give longer notice if state law requires.
- 5.3. Non-renewal and renewal changes.** We will give at least 60 days' written notice if we will not renew. If we offer to renew with a higher premium or reduced coverage, we will send you by first-class mail, at least 45 days before this policy ends, the renewal terms, the premium due, each change and the reasons for it.
- 5.4. Automatic extended reporting.** If this policy is cancelled or not renewed, a **claim** first made against you within 60 days after it ends is treated as made on the last day of the **policy period**, if it arises from an **incident, media wrongful act** or **wrongful collection** that first happened before this policy ended. This does not apply to a **claim** covered by other cyber insurance you buy to replace this policy. Report these **claims** no later than 90 days after the **policy period** ends, unless a purchased optional extended reporting period gives a later deadline under part 1.2.
- 5.5. Optional extended reporting.** If either of us cancels or does not renew, you may buy 12 months of extended reporting for 75% of the annual premium, or 24 months for 125%. This option is unavailable if the reason was non-payment or a knowingly false **application** statement.

Tell us and pay within 60 days after the policy ends. It starts when the policy ends and includes the automatic 60 days.

It adds no money to the aggregate and no new period for **discovering incidents**. Once bought, it cannot be cancelled and none of its premium is refundable.

6. RENEWAL

- 6.1. Renewal terms.** At renewal we state the new premium, **retention** and waiting periods in the [Declarations](#). There is no automatic **claim-free retention** reduction.
- 6.2. Calling early never counts against you.** Use of [Coverage A](#) or pre-incident assistance, including an **early warning** investigation that finds nothing, is not treated as a **claim** when we price your renewal.

7. OUR SERVICE STANDARDS

- 7.1. 24/7 response.** Our hotline is answered around the clock, and a member of our **incident** response team will contact you within one hour of your report.
- 7.2. Decisions.** We aim to explain our coverage decision in writing, with the policy wording we relied on, within 30 days after receiving the documents we ask for.
- 7.3. Payment.** We will pay undisputed amounts within 15 days after we agree on them. If we pay later, we add interest at 8% a year, compounded annually, from the day payment was due. This interest is in addition to any remedy the law gives you.
- 7.4. Cash advance for business interruption.** Once we confirm that D, E or P applies, we will pay an advance within 10 business days. It is 50% of our reasonable estimate of covered loss to date, after the **waiting period**. The advance is capped at the lower of 25% of the policy aggregate limit or the applicable coverage limit. We update the advance as the loss develops. It counts toward the final payment; you must return anything above the final covered loss.
- 7.5. One accountant, one number.** You may choose a single forensic accountant from our panel to measure your business interruption loss for both of us.

8. RESOLVING DISAGREEMENTS

- 8.1. Free internal review.** If you disagree with a coverage decision, you may ask for review by a **claims** professional who was not involved in it. We will respond within 30 days.
- 8.2. Mediation.** If we still disagree, either of us may ask for non-binding mediation. We will pay the mediator's fees.
- 8.3. Court or arbitration.** After that, either of us may go to court in the state whose law [Item 11](#) names. You may choose arbitration instead, binding where state law allows.

9. OTHER INSURANCE

- 9.1.** A and B apply first, before other insurance. H applies in excess of any crime or fidelity insurance you have. All other coverages apply in excess of other valid insurance, unless that insurance is written specifically to sit above this policy.
- 9.2. Professional liability insurance.** If a **claim** arising from a **security failure** or **privacy event** could also be covered by your professional liability (errors and omissions) insurance, [Coverage I](#) responds as if that other insurance did not exist. We will not refuse or delay your defense because of it, and we will seek any contribution directly from the other insurer.

10. RECOVERING MONEY FROM OTHERS (SUBROGATION)

- 10.1.** After we pay, we take over your rights to recover the payment from others, including your bank, and you will help us pursue them. You may waive those rights in a written contract signed before the **incident**.
- 10.2.** A recovery first repays the reasonable costs of obtaining it, to whoever paid them, but no cost is repaid twice, including costs we already paid under H. What is left repays your **retention** and uninsured loss first, then us. Recovered amounts do not reinstate the aggregate or any other limit.

11. GENERAL TERMS

11.1. Territory. This policy covers **incidents** anywhere in the world and **claims** brought anywhere in the world, where legally permitted.

11.2. The **named insured** acts for everyone. The **named insured** gives and receives notices, pays premium and receives refunds for all **insureds**.

11.3. Transferring the policy. You cannot transfer this policy to someone else without our written consent.

11.4. Bankruptcy. We must still meet our obligations if you become bankrupt or insolvent.

11.5. State law. If any term conflicts with the law of the state where this policy is issued, it is amended to meet that law's minimum requirements.

11.6. Headings and summaries. Headings, examples, the cover page and the reporting summary help you use the policy. They do not change coverage.

11.7. Broader coverage at no extra cost. If we broaden this policy form for new policies during your **policy period** without charging more, you automatically get the broader terms.

11.8. Entire agreement. The [Declarations](#), **application**, policy form and any endorsements listed in [Item 12](#) and supplied with the policy make up the full contract. All amounts are in U.S. dollars.